

REC Ltd | RECLTD | Financials

REC is a Central Public Sector Undertaking under the Ministry of Power involved in financing projects in the complete power sector value chain from generation to distribution. [1]

Key Performance Indicators

ROE %	ROCE %	NPM %	D/E	Rev CAGR 5yr	FCF (Cr)
20.4%	9.29%	29.77%	6.42	13.34%	-59554.0

Profit & Loss Summary (Rs. Crore)

Year	Sales	Op Profit	Net Profit	OPM%	EPS
2017-03	24338.0	22450.0	6313.0	92.0%	24.0
2018-03	22658.0	19279.0	4451.0	85.0%	17.0
2019-03	25408.0	23705.0	5741.0	93.0%	22.0
2020-03	29942.0	25961.0	4972.0	87.0%	19.0
2021-03	35557.0	32265.0	8378.0	91.0%	32.0
2022-03	39276.0	34438.0	10036.0	88.0%	38.0
2023-03	39486.0	37628.0	11167.0	95.0%	42.0
2024-03	47517.0	47883.0	14145.0	101.0%	54.0

Key Ratios Trend

Year	ROE%	ROCE%	D/E	FCF(Cr)	Rev CAGR
2019-03	16.62%	8.5%	7.07	-35409.0	8.09%
2020-03	14.05%	8.07%	8.09	-32591.0	7.82%
2021-03	19.14%	8.64%	7.53	-42651.0	8.07%
2022-03	19.56%	8.96%	6.49	-1106.0	10.04%
2023-03	19.21%	8.57%	6.55	-38303.0	11.75%
2024-03	20.4%	9.29%	6.42	-59554.0	13.34%

Balance Sheet Summary (Rs. Crore)

Year	Equity	Reserves	Borrowings	Total Assets
2019-03	1975.0	32571.0	244249.0	298454.0
2020-03	1975.0	33422.0	286289.0	347030.0
2021-03	1975.0	41789.0	329723.0	400867.0
2022-03	1975.0	49339.0	333043.0	410860.0
2023-03	2633.0	55487.0	380790.0	465503.0
2024-03	2633.0	66717.0	445568.0	548191.0

Cash Flow Statement (Rs. Crore)

Year	CFO	CFI	CFF	Net Cash
2022-03	-819.0	-287.0	68.0	-1038.0
2023-03	-37360.0	-943.0	38123.0	-180.0
2024-03	-57723.0	-1831.0	59588.0	34.0

Capital Allocation Pattern

Growth Funded by Debt

Strengths

- + Operating profit margin above 25% indicates strong pricing power and cost discipline
- + Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- + Revenue growing slower than profits shows improving operating leverage and scale benefits

Concerns

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital